

CHAPTER 8

Building Blocks in Economics: The Problem of Choice

NCERT Exercise Solutions

The Big Questions	3 Q
Introduction · Questions to think about	4 Q
Let's Explore · Needs and wants	2 Q
Let's Explore · Choices and Limited Resources	2 Q
Think About It · What to Produce and for Whom?	1 Q
Let's Explore · Market Economy	2 Q
Questions and activities	10 Q

✨ Try each question yourself first, then check the answer. 💡 answers are samples: write your own.

Independent study aid by Beginers Point. Not an official NCERT publication.

? The Big Questions

1 What does economics deal with?

✔ ANSWER

Economics deals with how choices are made by **optimising the use of limited resources to satisfy needs and wants**.

- It explains how consumers, producers, governments and financial institutions interact in an economy.
- Examples: how people earn wages, how wealth is distributed, how prices are set in the market.

2 What are the key questions in economics?

✔ ANSWER

The mismatch between unlimited wants and limited resources (scarcity) gives rise to three key questions:

- **What to produce?** (which goods and services, in what quantities)
- **How to produce?** (which methods, resources and technologies)
- **For whom to produce?** (which group of consumers will benefit)

3 **How do different economic systems address these questions?**

✔ ANSWER

- **Planned economy:** a central planning authority of the government decides what, how much, how and for whom to produce, and at what prices (e.g. former Soviet Union, North Korea, Cuba).
- **Market economy:** mainly the forces of demand and supply decide, with little government intervention (e.g. USA, Japan, Hong Kong).
- **Mixed economy:** private individuals, enterprises and the government all make choices (e.g. India post-1991, Germany, Sweden).

🤔 Introduction · Questions to think about

? **If you had to choose, would you spend your pocket money on snacks or save it for a new pair of shoes?**

💡 SAMPLE ANSWER

Shoes are a need and snacks are a want, so I would **save for the shoes**. Choosing one means giving up the other — this is an economic choice.

? **Your school library has only five copies of a new storybook but 20 students want to read it. Who should get it first? Can students share, or should the school buy more copies?**

💡 SAMPLE ANSWER

Students can **take turns** (e.g. a few days each, in a fixed order) and share the copies. Buying more copies uses money that could be spent on other things, so the school must weigh the opportunity cost.

? **Which crop should a farmer grow based on soil, rainfall and market demand?**

💡 SAMPLE ANSWER

The farmer should choose the crop that **suits the soil and rainfall** and also has **good demand** in the market, e.g. millets or pulses where rainfall is low.

? **Should an enterprise employ more labour or capital? Should the government spend more on highways or hospitals?**

💡 SAMPLE ANSWER

It depends on costs and needs: if labour is cheap and available, use more labour; if machines are affordable, use more capital.

The government must compare the benefits of each and choose what improves people's well-being most; both are important.

⭐ Let's Explore · Needs and wants

1 **List three things your parents bought this month. Can you classify them into needs or wants?**

💡 SAMPLE ANSWER

Item	Need or want
Rice and vegetables	Need
Medicines	Need
New mobile phone cover	Want

2 **Do you think having too many wants may create problems? Why or why not?**

💡 SAMPLE ANSWER

Yes. Resources (money, time, natural resources) are limited, so too many wants cannot all be satisfied.

- Spending on wants may leave less money for needs and savings.
- It can lead to waste and pressure on the environment.

⭐ Let's Explore · Choices and Limited Resources

1 **Ask your parents about how they make choices for everyday purchases. What is the opportunity cost of making a particular decision?**

💡 SAMPLE ANSWER

My parents first buy essentials (food, school supplies, medicines), then compare prices and quality.

Example: if they spend ₹500 on a restaurant meal, the **opportunity cost** is what they gave up, e.g. a month's fruit or ₹500 of savings.

2 **How do you decide to spend your time? Is time a scarce resource?**

💡 SAMPLE ANSWER

I plan time for school, homework, chores, play and sleep, giving first place to important tasks.

Yes, time is scarce — everyone has only 24 hours a day. An hour spent on games is an hour not spent studying (opportunity cost).

🤔 Think About It · What to Produce and for Whom?

— **Should the government allocate more funds to healthcare and education or to defence and space exploration? Why or why not?**

💡 SAMPLE ANSWER

All four are important, but a balance is needed because funds are limited.

- **Healthcare and education** directly improve people's well-being and skills, so they deserve a large share.
- **Defence** keeps the country safe, and **space exploration** brings technology and services (weather, communication).

The opportunity cost of spending more on one is less for the others, so the government should plan using data.

⭐ Let's Explore · Market Economy

1 **In your opinion, should the government completely stay out of enterprise decisions?**

💡 SAMPLE ANSWER

No. The government should not control every decision, but it must:

- ensure safety, law and order and fair competition,
- protect consumers and provide public goods (roads, parks, basic education).

Even market economies like the USA have government involvement.

2 **Can you think of an example where government action helped or harmed an industry or sector?**

💡 SAMPLE ANSWER

Helped: the 1991 reforms in India reduced excessive regulations, encouraged private enterprise and opened the economy to trade and investment, increasing competition.

Harmed: strict permits and licenses (as in planned economies) limited the number of enterprises and reduced competition and innovation.

? Questions and activities

1 **Why do you think people's wants keep changing over time? How does this affect production in an economy? Why cannot all our wants be satisfied?**

✔ ANSWER

- Wants change because of rising income, new products and technology, fashion and age (e.g. bicycle → motorbike → car).
- Producers must keep studying market trends and change **what and how much to produce**.

- All wants cannot be satisfied because **wants are unlimited but resources are limited** (scarcity).

2 **'Human wants are unlimited and keep changing'. How does this constant desire for more create pressure on the environment? Can the fulfilment of wants and the extraction of resources be balanced?**

💡 **SAMPLE ANSWER**

- More wants mean more production, so more natural resources (water, coal, minerals, land) are used, and more waste and pollution are created.
- **Yes, a balance is possible:** separate needs from wants, reduce waste, reuse and recycle, and choose sustainable options (e.g. growing millets and pulses instead of water-intensive crops saves water and improves soil health).

3 **Can you think of a resource in your region that is scarce but used wastefully? How could it be managed better?**

💡 **SAMPLE ANSWER**

Water is scarce in many areas but is wasted through leaking taps, over-irrigation and washing vehicles with running water.

Better management: fix leaks, rainwater harvesting, drip irrigation, growing less water-intensive crops, and awareness drives.

4 **Which economic system—market, planned, or mixed—gives people the most freedom? Which is best suited for promoting innovation? Why?**

✔ ANSWER

- **Most freedom: market economy.** Individuals and private companies own resources and decide what and how to produce, with little government control.
- **Innovation: market economy.** Many producers compete, which encourages better quality, lower prices and innovation. In a planned economy, limited competition gives little motivation to innovate.
- A mixed economy keeps much of this freedom while the government protects consumers and fairness.

5 **Critically examine why pure economic systems rarely exist in reality. Assess their limitations and justify why a mixed economy is more practical.**

✔ ANSWER

Limitations of a pure planned economy: strict permits and licenses, few enterprises, little competition, so little motivation to improve quality or innovate.

Limitations of a pure market economy: profit-making firms may not provide public goods (parks, roads, street lights, basic education), welfare or consumer protection.

Mixed economy: combines private enterprise, competition and innovation with government rules for fair competition, consumer protection, transparency, public goods and welfare.

So in reality most economies are mixed, e.g. India (post-1991), China (post-1978), Germany, Sweden; even the USA and Singapore have significant government involvement.

6 **A student has ₹100 and must choose between buying a notebook or saving the money for buying a tennis racket later. Which economic concept best explains this situation?**

a. Demand b. Opportunity cost

c. Production d. Inflation

💡 **SAMPLE ANSWER**

A student has ₹100 and must choose between buying a notebook or saving the money for buying a tennis racket later. Which economic concept best explains this situation? (a) Demand (b) Opportunity cost (c) Production (d) Inflation

7 **How does understanding opportunity cost improve the quality of economic decision-making?**

✔ ANSWER

- It makes us compare **what we gain with what we give up** before choosing.
- So limited resources are used in the best possible way, without waste.
- Example: a farmer growing sugarcane gets high profit, but gives up saved water and better soil health; knowing this helps balance short-term gains and long-term sustainability.

8 **Can effective economic decisions be made without reliable data? Support your answer with an example.**

✔ ANSWER

No. Good decisions rely on data and analysis, not guesswork.

Example: the **Economic Survey** (prepared by the Ministry of Finance) reviews the economy's performance and helps policymakers plan the Union Budget. Without such data the government could spend on the wrong sectors.

Similarly, enterprises study market trends before deciding what to produce.

9 **Analyse how a country's present economic choices can shape its long-term future. Why is it important to consider future consequences while making economic decisions today?**

✔ ANSWER

- Spending today on education, health and infrastructure builds skills and growth for the future.
- Overusing water and soil (e.g. too many water-intensive crops) may give quick profit but harms future farming.
- India's reforms of 1991 changed the direction of the economy for decades.

Considering future consequences helps balance **short-term gains with long-term sustainability**, since resources used today are not available tomorrow.

10 **Find a news article about a product or commodity where producers or companies are deciding how much to produce or supply.**

Write 2–3 sentences explaining it and why the decision was made.

💡 SAMPLE ANSWER

Example: A newspaper reported that farmers reduced onion planting this season because prices had fallen sharply last year after a large harvest.

They decided to produce less because too much supply had lowered prices and their profits.

(Use a real article from your own newspaper.)

🎉 **Chapter 8 done! Revise the answers once more tomorrow.**